Columns A to D

	A	B	C	D
4	**No.**	**Adjustment**	**Accounts**	**Evidence**
5	A1	Payroll owed for the last days of each year (gross…	Dr 5080, salary accounts, 6060 (and ret…	Payroll registers and WorkCenterC…
6	A2	Revenue recognized in the year of delivery (invoic…	Dr 1020; Cr 4010-4040 (and retained e…	Tests L5 and L6 (Cutoff worksheet)
7	A3	Accruals open longer than the clearing window, re…	Dr 2040; Cr expense accounts (and ret…	Accrual entries, AccrualClearing, A…
8	A4	Interest accrued on the notes since the last paym…	Dr 7030 (and retained earnings); Cr 2080	DebtScheduleLine (Cutoff workshe…
9	**A1-A4**	**Total of the recorded adjustments**		
10	Adjusted net income			
11				
12	R1	Current portion of the notes payable (principal due…	Dr 2110 (long-term); Cr current portion	DebtScheduleLine
13	R2	Credit balance of 1090 Manufacturing Cost Cleari…	Dr 1090; Cr 1046	Trial balance
14				
15	P1	Allowance for credit losses at Exercise 8.1's rates,…	Dr 6170; Cr 1030	ReceivableAging (SQL Results)
16	P2	Returns expected after the year-end on the year's…	Dr 4060, Cr refund liability (revenue); Dr…	ReturnsAfterYearEnd (SQL Results)
17	P3	Damaged and Quality Concern returns restocked…	Dr 5070; Cr 1040	ReturnLines (SalesReturn, SalesR…
18	**P1-P3**	**Passed items, in aggregate**		

The same rows after scrolling right: columns E to K

G10 *fx* =RecNI_2026+AdjTotal_2026

	E	F	G	H	I	J	K
4	**Retained earnings, January 1, 2025**	**Income 2025**	**Income 2026**	**Balance 2025-12-31**	**Balance 2026-12-31**	**Type**	**Decision**
5	(302,568.90)	(63,352.29)	(17,123.63)	(365,921.19)	(383,044.82)	Correction of an error: th…	Record. The liability exce…
6	90,138.93	(70,598.07)	24,940.25	19,540.86	44,481.11	Correction of an error	Record.
7	39,028.43	57,021.15	61,297.21	96,049.58	157,346.79	Correction of an error, on…	Record once the supplier…
8	(1,838.58)	469.31	(637.99)	(1,369.27)	(2,007.26)	Correction of an error	Record.
9	**(175,240.12)**	**(76,459.90)**	**68,475.84**	**(251,700.02)**	**(183,224.18)**		
10		5,057,894.81	4,572,087.08				
11							
12				89,243.61	147,503.76	Reclassification	Record: all of 2110 is cla…
13				49,102.81	46,730.55	Reclassification	Record: 1090 clears con…
14							
15			528.54	(34,634.79)	(34,106.25)	Change in estimate	Candidate to pass once…
16			(900.48)	(5,872.65)	(6,773.13)	Change in estimate	Candidate to pass once…
17			(61,146.00)		(61,146.00)	Estimate (valuation of inv…	Candidate to pass once…
18			**(61,517.94)**		**(102,025.38)**		

Cutoff | **Adjustments** | Statements

Outlined in coral: the total of A1 to A4 on retained earnings, on each year's income and on the year-end balances. Outlined in teal: the adjusted net income, recorded income plus that total, with G10 selected. Each text cell is drawn with its first line only (the workbook's rows are tall enough for the whole text); rows 11 and 14 are blank and row 19, the clearly trivial freight estimate, is below the block drawn.